

Alphabet Inc.

GOOGL NASDAQ

Buy	\$372.85 ▲ 4.69%	12M Price Target \$420.00	52-Week Range \$190.12 – \$408.61	Market Cap \$4.56T
-----	------------------	------------------------------	--------------------------------------	-----------------------

GOOGL: Berkshire's \$23B Bet Validates the AI Winner Thesis

WHAT HAPPENED

- GOOGL ripped +4.7% on massive volume because Berkshire Hathaway (Buffett's firm, now run by Greg Abel) disclosed a \$23B position — that's a huge validation stamp from the most conservative money on Wall Street, and it tells you the "value" crowd now sees GOOGL as the cheap way to own AI.
- Options desks lit up — call buying is 2.6x put buying, with 20,000+ contracts hitting the \$370 strike (17x the normal open interest) — meaning traders are betting the run keeps going into August.

WHY IT MATTERS

The Berkshire buy is bigger than a one-day pop — it reframes the whole narrative. For two years the bear case was "AI will eat Google Search." Buffett's team putting \$23B to work says the opposite: Search is still a fortress, and Gemini is closing the gap with OpenAI. This probably means institutional money that was underweight GOOGL versus MSFT and NVDA now has cover to rebalance — and that flow can push the stock higher independent of earnings. Watch for: if AMZN just joined the \$3T club and GOOGL is at \$4.5T with a cheaper multiple, the "megacap AI basket" trade favors GOOGL as the relative value pick heading into fall.

POLICY & POLITICAL WATCH

The elephant in the room is the DOJ antitrust remedy phase — the judge already ruled Google has a Search monopoly, and the remedy debate (which could force divestiture of Chrome or ban default-search payments to Apple) is the single biggest overhang. So far the market is pricing in a soft outcome (behavioral remedies, not breakup) and the Berkshire buy suggests smart money agrees. Separately, watch the EU AI Act enforcement ramp and any US federal AI safety executive orders — Alphabet has the compliance infrastructure to absorb the costs while smaller rivals can't, so heavier regulation actually widens their moat.

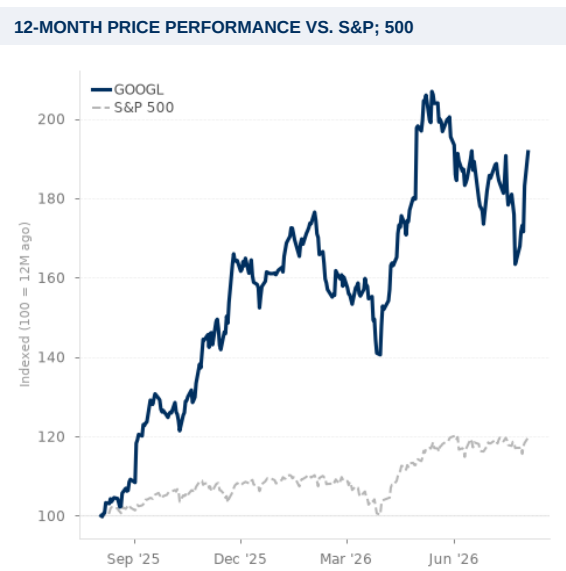
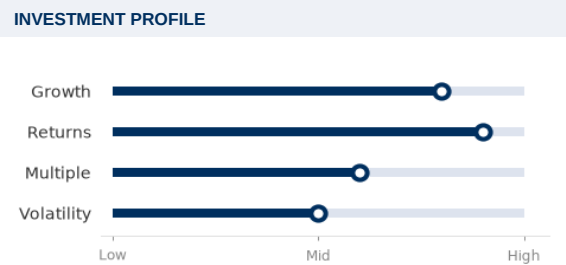
IS IT EXPENSIVE?

At ~\$373, GOOGL trades around 38x forward earnings — meaning investors are paying \$38 for every \$1 of profit the company will make next year. That sounds expensive, but MSFT trades at ~35x with slower growth, and NVDA at ~40x with way more cyclical risk. On EV/EBITDA (basically enterprise value divided by cash operating profit) around 22x, it's the cheapest of the Mag 7 AI names — which is exactly why Berkshire pulled the trigger.

WHAT COULD GO WRONG

- DOJ remedy ruling — if the court forces Chrome divestiture or kills the Apple search deal (worth ~\$20B/year to Google), the whole thesis needs to be repriced downward

Key Data	
Price (USD)	\$372.85
12M Price Target	\$420.00
Upside / (Downside)	+12.6%
Market Cap	\$4.56T
FY2026E Revenue	\$425M
FY2027E Revenue	\$485M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.75
Fwd P/E	37.9x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$395.00	\$378.00	\$350.00
6 Months	\$435.00	\$400.00	\$340.00
1 Year	\$475.00	\$420.00	\$320.00
2 Years	\$560.00	\$470.00	\$300.00
5 Years	\$800.00	\$620.00	\$350.00
10 Years	\$1200.00	\$850.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.7% today) and Consumer Discretionary (+6.6% over 5 days) — the megacap tech/AI trade is back on hard after AMZN's blowout and now GOOGL's Berkshire catalyst. AI capex beneficiaries (memory, networking, power) are all bid.

COOLING OFF: Materials and Industrials are lagging — the "old economy" reflation trade is losing to the "AI everything" trade again. Financials flat, suggesting rate cut hopes are fading.

ROTATION WATCH: Money is rotating from expensive AI plays (NVDA, small-cap AI) into the cheaper megacap AI names — GOOGL is the poster child of that rotation right now.

RELATED PLAY: If GOOGL's AI capex ramp continues, the picks-and-shovels names benefit — Micron (memory for AI servers, 85% gross margins per today's news), data center REITs like EQIX and DLR, and power infrastructure names.

WHO'S WINNING IN THIS SPACE?

- AMZN (Amazon): Joined \$3T club today on massive AI spending guide-up and blowout AWS numbers — proves cloud + AI thesis is real
- MU (Micron): 85% gross margins on HBM memory going into AI servers — direct beneficiary of every hyperscaler capex dollar

GOOGL CONTEXT: GOOGL was lagging the group for most of 2025 — now it's catching up. With Berkshire's buy providing cover, GOOGL could be the "catch-up trade" for portfolios that missed the MSFT/NVDA runs. Trading at 84% of its 52-week range means there's still room before it's technically stretched.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Berkshire validation + cheapest megacap AI + Search moat holding + Cloud accelerating is a rare setup; the only reason it's not a 9 is the DOJ overhang.

POSITION SIZE: 5-8% — this is a core holding, not a trade; you can size up because volatility is lower than pure AI plays.

ENTRY POINTS: Don't chase \$373 — wait for a pullback to \$350-360, which is likely on any macro wobble or DOJ headline. Add aggressively under \$340.

TIME HORIZON: 12-24 months — the catalyst you're waiting for is DOJ remedy clarity (expected in coming months) and continued Cloud acceleration.

WHEN TO BAIL: If the court orders Chrome divestiture, or if Cloud growth drops below 25%, or if Gemini market share reverses — any of those three, cut the position.

HEDGING: Simplest hedge is buying put options 10% below current price expiring 6 months out — that caps your downside if DOJ goes nuclear. Or pair-trade by shorting a more expensive AI name against your GOOGL long.